# PARDEE RESOURCES COMPANY

## 2ND QUARTER 2019

Responsible Development of Natural Resource Properties

Integrity Creativity Excellence Respect Teamwork Family

# To Our Shareholders:

During Q2 2019, Pardee Resources Company earned $5.41 per share, 82.8% above the $2.96 per share earned during Q2 2018. EBITDA was $9.46 per share, a 49% increase above last year's level. Our Coal & Minerals Division delivered particularly strong results due to gains in metallurgical coal production, non-strategic asset sales, and the recovery of outstanding bankruptcy claims. While market weakness negatively impacted our timber harvest and revenues, gains from property sales and compensation for a power line easement helped support our Timber & Surface Division results. Our Oil & Gas Division revenues increased due in part to production from our Colorado interests; and Renewable Energy Division revenues were unchanged versus last year; however, both maintenance expenses and professional fees increased. The status of the Company's investment in DC Solar, which represents a potential loss of up to $7.2 million, remains unchanged (For more information on the DC Solar matter, please see the legal footnote on page 6 of this report).

**Coal & Minerals Division:** Metallurgical coal markets remained strong during the quarter, even as the thermal coal markets weakened. Total U.S. metallurgical coal exports during 2019, the majority of which come from Appalachia, are expected to reach 61 million tons, versus 40 million tons as recently as 2016. Of Pardee's total mined coal royalties during Q2 2019, 91% were from metallurgical coal sales. During Q2 2019, Pardee continued to benefit from recent mine development, as coal produced from our properties totaled 910,000 tons, 23% higher than Q2 2018 levels. As a result, mined coal royalties during the period totaled $4.3 million, versus $3.4 million during Q2 2018. The Division also benefitted from the sale of a coal reserve, which resulted in a gain of $336,000, and the recovery of $680,000 in claims related to past lessee bankruptcies, bringing total Division revenues to $5.7 million.

**Oil & Gas Division:** U.S. natural gas spot market prices averaged $2.64 per MMBtu (NYMEX) during the quarter, 5.7% lower than Q2 2018 prices, reflecting an oversupplied market which has continued to decline into the summer months. Nonetheless, steady production from the 3,600 conventional oil and gas wells operating on our Appalachian acreage, together with income from our Colorado interests, helped drive Q2 2019 revenues to $1.92 million, 12.3% higher than the $1.71 million earned during Q2 2018. Through the first six months of 2019, approximately 20% of Division revenues have come from oil production, mainly related to our Colorado holdings.

**Timber & Surface Division:** The hardwood timber markets weakened further during the quarter as the trade dispute with China, which is now a year old, dragged on. U. S. exports to China were down 39% through May 2019 versus the same period last year. U.S. Eastern hardwood lumber production was approximately 7.5 million board feet annualized through March 2019, versus over 8 million board feet produced in 2018. Hardwood production from Pardee's properties totaled 2 million board feet during the quarter, down nearly 16% from last year's levels. Meanwhile, the Division's Q2 2019 results were bolstered by $411,000 in compensation from the granting of a power line easement on one of our properties, and $419,000 in net gains from lot and property sales.

**Agriculture Division:** The weather in California's southern Central Valley has remained favorable through July 2019 and we are expecting a strong table grape harvest, which is scheduled to begin in mid-August. Both of our table grape ranches should generate positive cash flows during 2019, while harvest levels and cash flows are expected to increase over the next few years as the young vines mature. Our Portugal almond farm, which totals 390 acres, is fully planted with over 54,000 young almond trees, and we expect our first harvest in 2021.

**Alternative Energy Division:** Growth in the commercial solar PV market segment has slowed due to policy shifts in important markets such as California and Massachusetts. These states, among others, are emphasizing "solar plus battery storage", an area which we are currently studying. Our solar fleet produced $1.25 million in revenues during Q2 2019, unchanged versus Q2 2018 results; however Division operating expenses increased by $181,000 over last year, including approximately $100,000 in professional fees related to our D.C. Solar investment.

**Strategic Focus:** We continue to work to maximize the long-term value of our diversified natural resource portfolio, including land, mineral, solar and agriculture assets, while searching for attractive acquisition opportunities where we can apply our unique expertise within our areas of focus. The Company ended the quarter in a strong financial position, including $24.9 million in cash and a $0 balance on our available $30 million bank line of credit.

*Please see page 6 for an update of legal matters.

Sincerely yours,

Chairman
William G. Foulke

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Pardee Resources Company
Unaudited Consolidated Balance Sheets

(Dollars in Thousands)

| | 06-30-19 | 12-31-18 |
|---|---|---|
| **ASSETS** | | |
| Current Assets: | | |
| Cash & Cash Equivalents | $24,918 | $15,271 |
| Accounts Receivable | 6,921 | 8,505 |
| Prepaid Income Taxes | - | 1,207 |
| Other | 1,732 | 1,107 |
| | 33,571 | 26,090 |
| Fixed Assets: (Net of Depl. & Deprec.) | | |
| Land & Right of Ways | 31,295 | 32,073 |
| Mineral Rights - Coal | 33,671 | 33,717 |
| Timber | 12,229 | 13,510 |
| Solar Equipment | 23,799 | 24,454 |
| Building & Structures | 1,398 | 1,441 |
| Agriculture Development | 7,722 | 6,158 |
| Equipment | 609 | 662 |
| Automobiles | 102 | 95 |
| Other Fixed Assets | 1,019 | 823 |
| | 111,844 | 112,933 |
| Investments & Other | | |
| Oil & Gas Investments (Net of Depl. & Deprec.) | 42,714 | 44,393 |
| Equity Investments | 439 | 445 |
| Right of Use - Operating Assets | 4,875 | 0 |
| Other | 102 | 122 |
| **Total Assets** | $193,545 | $183,983 |
| **LIABILITIES & EQUITY** | | |
| Current Liabilities: | | |
| Accounts Payable | $2,379 | $2,601 |
| Deferred Revenues | 425 | 775 |
| Current Portion Note Payable (non recourse) | 343 | 343 |
| Income Taxes Payable | 216 | 0 |
| Other | 512 | 0 |
| | 3,875 | 3,719 |
| Noncurrent Liabilities: | | |
| Non-recourse Debt | 3,879 | 4,040 |
| Asset Retirement Liability | 399 | 394 |
| Supplemental Pension Plan | 381 | 361 |
| Deferred Revenue, Net of Current Portion | 3,579 | 2,718 |
| Deferred Taxes | 15,926 | 15,926 |
| Operating Lease Liability | 4,755 | 0 |
| Other | 57 | 14 |
| Total Liabilities | 32,851 | 27,172 |
| Shareholder's Equity: | | |
| Common Stock | 775 | 775 |
| Additional Paid in Capital | 14,511 | 15,086 |
| Retained Earnings | 167,448 | 164,472 |
| Treasury Stock | (24,740) | (25,751) |
| | 157,994 | 154,582 |
| Noncontrolling Interest | 2,700 | 2,229 |
| Total Equity | 160,694 | 156,811 |
| **Total Liabilities & Equity** | $193,545 | $183,983 |

Pardee Resources Company
Unaudited Consolidated Income Statements

(Dollars in Thousands)

| | Three Months Ended 06-30-19 | Three Months Ended 06-30-18 | Six Months Ended 06-30-19 | Six Months Ended 06-30-18 |
|---|---|---|---|---|
| Divisional Revenues: | | | | |
| Coal & Minerals | $5,701 | $3,772 | $9,686 | $7,519 |
| Oil & Gas | 1,921 | 1,712 | 3,970 | 3,723 |
| Timber & Surface | 1,458 | 1,574 | 2,557 | 2,738 |
| Alternative Energy | 1,250 | 1,244 | 1,972 | 1,902 |
| Agriculture | 0 | 0 | 0 | 0 |
| | 10,330 | 8,302 | 18,185 | 15,882 |
| Divisional Expenses: | | | | |
| Coal & Minerals | 732 | 871 | 1,360 | 1,560 |
| Oil & Gas | 1,353 | 1,403 | 2,688 | 2,848 |
| Timber & Surface | 762 | 774 | 1,455 | 1,500 |
| Alternative Energy | 739 | 558 | 1,334 | 1,088 |
| Agriculture | 170 | 59 | 338 | 102 |
| | 3,756 | 3,665 | 7,175 | 7,098 |
| **Net Operating Income** | **$6,574** | **$4,637** | **$11,010** | **$8,784** |
| Interest and Other Income | 48 | 40 | 116 | 58 |
| Income (Loss) on Equity Investment | 43 | (80) | 28 | (115) |
| General and Administrative | (1,762) | (1,699) | (3,499) | (3,421) |
| Interest Expense | (65) | (110) | (131) | (242) |
| **Income Before Taxes** | **$4,838** | **$2,788** | **$7,524** | **$5,064** |
| Taxes | 1,258 | 725 | 1,956 | 1,317 |
| **NET INCOME** | **$3,580** | **$2,063** | **$5,568** | **$3,747** |
| Net Loss - Noncontrolling Interest | 18 | 0 | 36 | 0 |
| Net Income - Pardee Resources Shareholders | $3,598 | $2,063 | **$5,604** | **$3,747** |
| **EARNINGS PER SHARE** | **$5.41** | **$2.96** | **$8.42** | **$5.38** |
| **EBITDA PER SHARE** (earnings before interest, taxes, depreciation and amortization) | $9.46 | $6.37 | $15.75 | $12.14 |
| Weighted Average Number of Common Shares Outstanding | 665,190 | 696,916 | 665,190 | 696,916 |
| Common Dividend Per Share | $1.80 | $1.80 | $3.60 | $3.60 |
| Total Shareholder Return (dividend paid plus change in stock price) | | | 2 .18% | -0 .21% |

## Pardee Resources Company
## Comparison Data Sheet

| | Three Months Ended 06-30-19 | Three Months Ended 06-30-18 | % Change | Six Months Ended 06-30-19 | Six Months Ended 06-30-18 | % Change |
|---|---|---|---|---|---|---|
| **Coal & Minerals** | | | | | | |
| Revenues - Millions | $5.70 | $3.77 | 51.2% | $9.69 | $7.52 | 28.9% |
| Production - Coal Tons - Millions | 0.91 | 0.74 | 23.0% | 1.67 | 1.44 | 16.0% |
| Royalty/Coal Ton | $4.53 | $4.52 | 0.2% | $4.47 | $4.65 | -3.9% |
| **Oil & Gas** | | | | | | |
| Revenues - Millions | $1.92 | $1.71 | 12.3% | $3.97 | $3.72 | 6.7% |
| Production - bcfe | 0.60 | 0.62 | -3.2% | 1.22 | 1.27 | -3.9% |
| Price/mcfe | $2.90 | $2.85 | 1.8% | $3.03 | $3.07 | -1.3% |
| **Timber & Surface** | | | | | | |
| Revenues - Millions | $1.46 | $1.57 | -7.0% | $2.56 | $2.74 | -6.6% |
| Production - Board feet - Millions | 2.07 | 2.46 | -15.9% | 4.70 | 5.52 | -14.9% |
| Stumpage Price/Thousand Bd. Ft. | $228.26 | $226.95 | 0.6% | $232.89 | $232.71 | 0.1% |
| Production - Softwood Tons - Thousands | 0.56 | 15.49 | -96.4% | 13.67 | 33.87 | -59.6% |
| Stumpage Price/Ton Softwood | $13.01 | $14.82 | -12.2% | $15.71 | $15.27 | 2.9% |
| Production - Hardwood Tons - Thousands | 3.58 | 8.49 | -57.8% | 10.66 | 14.76 | -27.8% |
| Stumpage Price/Ton Hardwood | $3.00 | $2.37 | 26.6% | $3.14 | $2.30 | 36.5% |
| **Alternative Energy** | | | | | | |
| Revenues - Millions | $1.25 | $1.24 | 0.8% | $1.97 | $1.90 | 3.7% |
| Production - k/w - Millions | 5.88 | 5.73 | 2.6% | 9.07 | 9.08 | -0.1% |
| Electric Sales Price per k/w | $0.112 | $0.111 | 0.9% | $0.114 | $0.113 | 0.9% |
| Production - SREC Units | 2,999 | 3,098 | -3.2% | 4,840 | 4,769 | 1.5% |
| SREC Price/Credit | $188 | $189 | -0.5% | $183 | $174 | 5.2% |
| **NET DIVISIONAL OPERATING INCOME:** | | | | | | |
| (Dollars in Millions) | | | | | | |
| Coal & Minerals | $4.97 | $2.90 | 71.4% | $8.33 | $5.96 | 39.8% |
| Oil & Gas | 0.57 | 0.31 | 83.9% | 1.28 | 0.88 | 45.5% |
| Timber & Surface | 0.70 | 0.80 | -12.5% | 1.10 | 1.24 | -11.3% |
| Alternative Energy | 0.51 | 0.69 | -26.1% | 0.64 | 0.81 | -21.0% |
| Agriculture | (0.17) | (0.06) | -183.3% | (0.34) | (0.10) | -240.0% |
| Net Operating Income | $6.58 | $4.64 | 41.8% | $11.01 | $8.79 | 25.3% |
| EBITDA - Millions | $6.29 | $4.44 | 41.7% | $10.48 | $8.46 | 23.9% |
| (earnings before interest, taxes, depreciation and amortization) | | | | | | |

***Lexington v. Zinn**

On December 7, 2007, Lexington Land Development, LLC (Lexington) filed litigation against certain parties in East Baton Rouge Parish, Louisiana. Lexington claims that their 48-acre parcel was contaminated by a release from a pipeline owned and operated by Shell Pipeline Company (Shell), as well as the oil and gas exploration and production activities of other various defendants, including Zinn Petroleum Company (Zinn). Lexington seeks various remedies, including remediation and damages. The Company is not a defendant in this case; however, the Company has a minority interest in certain leases and wells operated by Zinn, and, under joint operating agreements, the Company and certain other interest owners are responsible for their respective shares of any damages or judgments sustained by Zinn.

Under Louisiana law, this litigation triggered attention from regulatory agencies. The Louisiana environmental regulatory agencies required Shell and other defendants, including Zinn, to submit plans for assessing soil and ground water conditions at the site. Shell completed its assessment and remediation which was approved by the agencies. Zinn's environmental experts have concluded their assessment and determined that Zinn's operations, which began in 1992, have been in compliance with regulatory standards. Zinn's experts have further determined that the data indicating the presence of certain constituents in the soil and shallow groundwater are the result of either former closed production storage pits used by other operators before Zinn began operations on the property or natural environmental conditions. Zinn's experts have also opined that the presence of these constituents is, for the most part, within applicable regulatory standards and not harmful to the environment. Finally, Zinn's experts have found defects in the methodology used by the plaintiff's experts and recommend that decisions regarding the need for assessment/restoration, as may be appropriate, be done under the direction of the regulatory agency in order to achieve regulatory closure status for the site.

Discovery is scheduled to be completed by August 12, 2019, but a trial date has not been set. Zinn is vigorously defending both the civil and regulatory actions. This action is subject to substantial uncertainties concerning the outcome of material factual and legal issues related to the litigation. Accordingly, we cannot currently predict the manner and timing of the resolution of these matters and are unable to estimate the amount of any possible losses, which could be material.

***Kings' Dome**

In 2016, the Company settled a lawsuit challenging its mineral servitude and lease in the Kings' Dome Field in Louisiana for an immaterial amount. Following this settlement, the Company's lessee and that lessee's assignee filed cross claims for the royalties paid the Company under the lease in the event the lessee and/or its assignee were held liable on the plaintiffs' claims for recovery of production revenues. The trial court ordered the severance of the cross claims from the primary action. In January 2017, the primary action went to trial. The plaintiffs' prevailed in trial and were awarded damages per the terms of a pretrial agreement. The Company understands that the parties to the primary action have reached a settlement, the terms of which are confidential. Meanwhile, by voluntary agreement of the parties to the cross claims and with the court's consent, the cross claims are being held in abeyance. If the cross claims are not resolved and are pursued against the Company, the Company intends to assert various defenses. If the Company is not successful in having the cross claims dismissed, the Company currently estimates that its exposure to these cross claims would likely not exceed $360,000. The cross claims are also subject to a previously negotiated contractual indemnity for up to $100,000 in the Company's favor. However, due to the inherently subjective nature of these estimates and the uncertainty and unpredictability surrounding the outcome of legal proceedings, the actual results may differ from the amount estimated and no amounts have been reserved in the financial statements.

In July 2017, a new legal action was filed against the Company in U.S. District Court for Western District of Louisiana also challenging its mineral servitude and lease in the Kings' Dome Field. The plaintiff alleged that the Company's mineral servitude terminated in 1999 under the Louisiana Mineral Code due to non-use for a ten-year period, that the Company's lease was consequently invalid, and that it is entitled to recover production revenues. The Company reached a confidential settlement with the plaintiff providing for the Company to make a payment of an immaterial amount. Two assignees of the Company's lessee filed cross claims against the Company for the royalties paid the Company as to acreage under the mineral lease. In June 2018, the District Court dismissed the cross claims of one of those assignees as being prescribed/time barred. This assignee filed for an appeal which the District Court denied as premature. An appeal remains possible after the primary case is concluded in the District Court. The Company and the other assignee reached a confidential settlement in January 2019 for an immaterial amount. If the former assignee pursues an appeal, the Company intends to vigorously defend against the cross claims. Due to substantial uncertainties concerning the outcome of material factual and legal issues related to the cross claims, however, the Company cannot predict the manner and timing of the resolution of these cross claims and is unable to estimate the amount of any possible losses, which could be material.

***DC Solar Solutions, Inc.**

In December 2015, the Company invested $7.7 million in a limited partnership that purchased mobile solar generators (MSGs) from DC Solar Solutions, Inc. (DC Solar) and, in turn, leased the MSGs to DC Solar Distribution, Inc., an affiliate of DC Solar. In early 2019, the Company learned through public sources that the U.S. government seized substantially all of the assets of DC Solar and its affiliates in December 2018. DC Solar and its affiliates, including our lessee, subsequently filed for Chapter 11 bankruptcy protection in February 2019. An affidavit from a Federal Bureau of Investigation special agent was filed in February 2019 in the bankruptcy proceeding asserting that DC Solar was operating a fraudulent "Ponzi-like scheme" and that a majority of the MSGs sold to investors and a majority of the lease revenues claimed to have been received by DC Solar Distribution, Inc. may not have existed. The Chapter 11 proceeding has been converted to a Chapter 7 liquidation. Due to the bankruptcy proceedings being converted to Chapter 7 liquidation, the Company evaluated its remaining equity investment value of $485,332 and recorded an impairment charge of $485,332 as of December 31, 2018. The Company is currently gathering additional information regarding this developing situation. In April 2019, an independent audit was completed which located and identified 122 of the 125 MSGs purchased by the Company's partnership in 2015. Due to various substantial uncertainties, the Company is currently unable to determine the financial impact, if any, arising from this complex situation; however, this impact could be as much as $7.2 million, which includes related tax impacts.

**Forward Looking Statement**

Certain of the statements contained herein (other than statements of historical facts) are forward-looking statements. Such forward-looking statements include estimates and assumptions related to the Company's growth, reserves, the state of future markets for natural resource, renewable and agricultural products, and the ability of the Company to sell its natural resource, renewable and agricultural products on a profitable basis. These forward-looking statements are subject to change and uncertainty which are, in many instances, beyond the Company's control and have been made based upon management's expectations and beliefs concerning future developments and their potential effect on the Company. There can be no assurance that future developments will be in accordance with management's expectations or that the effect of future developments on the Company will be those anticipated by management. Actual financial results, including revenue growth and earnings results, could differ materially from those anticipated by the Company depending on the outcome of certain factors, which may include, among others, changes in the wholesale prices for timber, oil, natural gas, coal, renewable and agricultural products; increases in property acquisition costs; adverse weather conditions; litigation; failures of our lessees to mine, drill and harvest at rates we currently anticipate; differences between actual reserves and estimated amounts; legislative changes or government regulations which make it more difficult or expensive to sell, extract or harvest our natural resource, renewable and agricultural products or impose greater financial burdens on the users of such products; unanticipated costs for remediation and reclamation; the scope of the fraud alleged to have been conducted by DC Solar; and other risks and uncertainties.

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